Advanced Reporting & Performance

Workshop 2



Introduction

Expectations for the day

- Ask questions!
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Morning break – 15 minutes
- Lunch – 60 minutes
- Afternoon break – 15 minutes

Introduction

Workshop materials

- Within Advantage, you will find the materials used within the workshops
  - Slides without solutions
  - Questions
  - Any other materials required

- After the workshop, additional materials will be released
  - Slides with solutions
  - Solutions for questions
  - Debrief video

Please find ARP Workshop 2 materials in Advantage now

Introduction

Modules covered prior to workshop 2 (Wednesday week 6 - today)

- Module 5 Financial instruments
- Module 6 Consolidation
- Module 7 Statement of Cash Flows

Modules to cover prior to workshop 3 (Wednesday week 7)

- Module 4 Income and expenditure
- Module 8 Non-financial reporting: Sustainability disclosures
- Module 9 The relationship between financial and non-financial reporting

Assessment

- Scenario-based invigilated written assessment
- 3 hours for the assessment
- 100 marks available (1.8 minutes per mark)
- Closed book exam
- Pass mark = 50%
- 3 Sections

1. Section 1 – individual companies
2. Section 2 – group companies
3. Section 3 – non-financial reporting (likely to be the shortest section)

Assessment

- More focus on **explanations** – **analysing** and **evaluating** scenarios
- Analysis
  1. Examine and break information into parts, evidence to support why you reached your conclusion / recommendation
- Evaluating
  1. Advising on appropriate accounting treatment for transactions and correcting any errors.
  2. Evaluating the impact of transactions on the financial statements.
  3. Evaluating and making recommendations of disclosures and improvements that can be made

TUTOR TIP: Exam marks will be ROUGHLY split 50:50 for explanations and calculations / presentation / disclosures.

Assessment – permitted materials

Closed book assessment with permitted materials

- Hard copy IFRS Accounting Standards
- ICAS Code of Ethics
- Sustainability standards (where applicable)
- Extracts of company law or other legislation (where applicable)
- 5 A4 sheets of blank paper
- Scientific calculator

IFRS textbooks

- Permitted materials includes your hard copy of the IFRS textbooks
- Part A: Issued standards and the Conceptual Framework for Financial Reporting
- Part B: Accompanying guidance and IFRS Practice Statements
- Part C: Bases for conclusions

You should practice using the standards

You are NOT allowed to write in your textbooks.
You are allowed to highlight, sideline, underline and tab your textbooks.

Marked question



Marked question debrief

Module 5

Financial instruments

Financial instruments

A financial instrument is defined as:
Any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Examples:
Cash
Trade receivables / payables
Loans receivable / payable
Debentures
Bonds
Investments
Derivatives (forward contracts, interest swaps etc)

Financial assets - classification

A company may have a financial asset in a debt instrument or an equity instrument.

FVTPL

Debt instruments that a company intends to hold in the **short term** (to trade)

Equity instruments

Derivatives

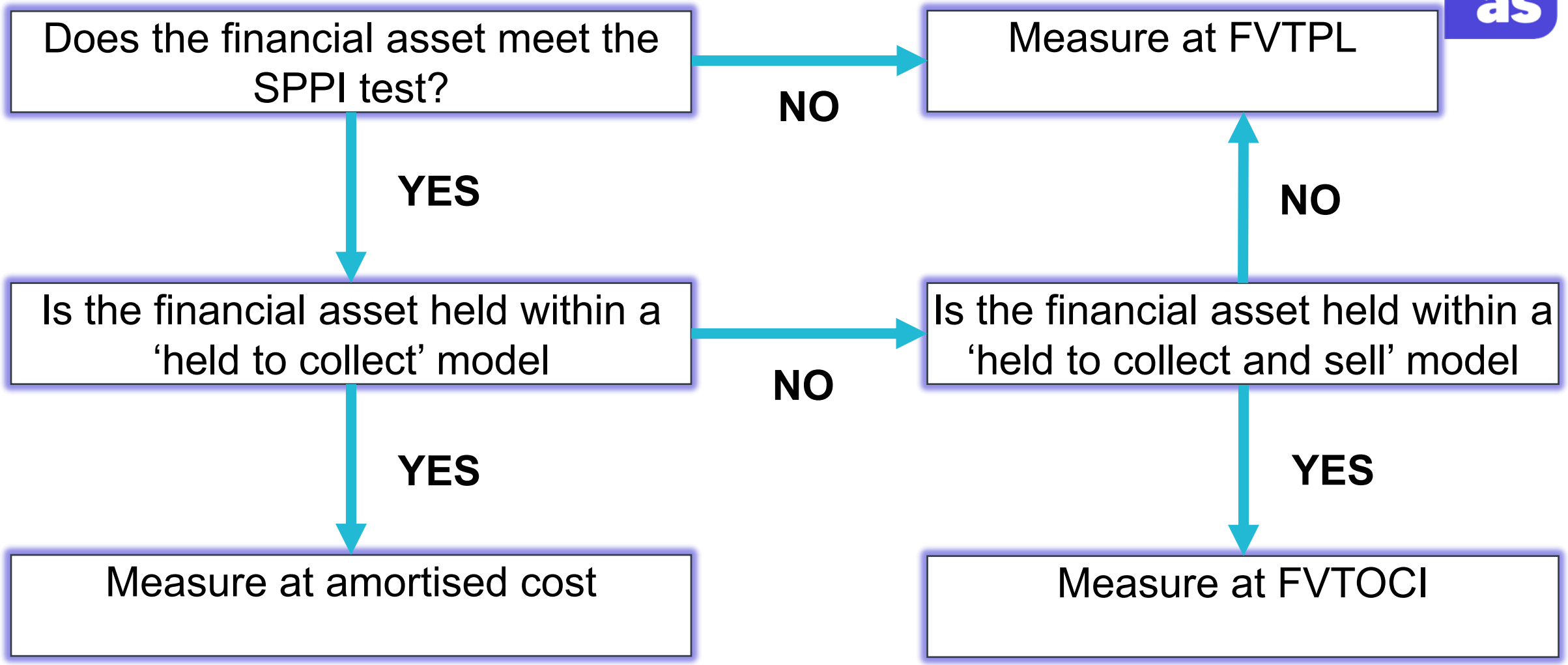
FVTOCI

Debt instruments that a company intends to hold for a **medium term** (to collect interest and sell before maturity)

AC

Debt instruments that a company intends to hold in the **long term** (to collect interest and principal on redemption)

Financial assets - classification



Financial assets – classification exceptions

For financial assets, there are 2 exceptions to the general classification rules:

1. A financial asset in an equity instrument can be classed as FVTOCI if they are not held for trading
2. A financial asset in a debt instrument classed as FVTOCI or AC may be classed as FVTPL to avoid an accounting mismatch

An accounting mismatch occurs where a financial asset and a related liability are recognised or measured inconsistently.

Financial liabilities – classification & exceptions

FVTPL	AC
Any financial liabilities held in the short term (for trading purposes) Derivatives	Any financial liability that is not measured at FVTPL

For financial liabilities, there are 2 exceptions to the general classification rules. A financial liability measured at AC may be measured at FVTPL:

1. To avoid an accounting mismatch
2. A group of financial instruments is managed on a fair value basis if management is provided with fair value information and evaluates the performance of the instruments based on this.

Financial instruments Kahoot quiz

Kahoot quiz

Scan the barcode onscreen to join

OR

Go to Kahoot.it and enter game pin

You will be randomly allocated a nickname

No account needed

Financial instruments – Quiz questions

Investment in shares

- Company A acquired 100,000 ordinary shares in Company B for £5 each. Company A plans to sell the shares when the share price increases to greater than £6.

Investment in bonds

- Company A acquired 5,000,000 £1.00 4% 20X9 bonds from Company C. Company A intends to hold the bonds until maturity.

Investment in mortgages

- Company A bought a group of mortgages from a building society. The mortgages are due to be repaid over the next 25 to 30 years. Due to the current economic conditions, the mortgages were acquired at a substantial discount to their nominal value. The company has acquired them with the intention of selling them onwards in the next 2 years as economic conditions improve.

Financial instruments – Quiz solutions

Investment in shares

- Company A has acquired a financial asset in an equity investment (ordinary shares). The shares are not being held for the long term as there are plans to sell when the share price increases. They are being held to trade so the election to measure at FVTOCI is not allowed. **Measured at FVTPL**

Investment in bonds

- Company A has acquired a financial asset in a debt investment (bonds). They intend to hold the bonds until maturity so they will collect the interest and principal. **Measured at amortised cost**

Investment in mortgages

- Company A has acquired a financial asset in a debt investment (mortgages). Company A's main intention with the group of mortgages is to trade them in the short term (i.e. within 2 years of a 25-30 year term). **Measured at FVTPL**

Financial instruments – Quiz questions

Forward contract

- Company A has entered into a forward currency contract to acquire $10,000,000 in three months' time at $1.45.

Bonds

- Company A issued 5m £1 3.5% bonds 20X9 at a discount of 5%. The company intends to hold the bonds until maturity.

Loan

- Company A received a loan from the bank. The loan is for £1m and is repayable in 5 years. Payments of £10,000 will be made monthly with a final payment of £500,000 due at the end of the 5 years.

Financial instruments – Quiz solution

Forward contract

- The forward currency contract is a derivative and should be **measured at FVTPL**

Bonds

- Company A is not intending to trade the bonds issued and bonds are not derivatives. **Measured at amortised cost**

Loan

- Company A can't hold the loan in the short term for trading purposes. They signed a contract with the bank and they can't get out of without the bank's permission. A loan is not a derivative. **Measured at amortised cost**

Financial assets – FVTOCI measurement

Initial measurement

- Debt and equity instruments: Fair value (transaction price) plus transaction costs

Measurement at reporting date

- Debt and equity instruments: Fair value

Recognition of change in measurement in the year

- Debt instrument: Finance income using the effective interest method is recognised in SPL. Any further adjustment (to fair value) is recognised in OCI (Revaluation surplus).

- Equity instrument: All recognised in OCI (Revaluation surplus)

Financial assets – FVTOCI measurement

Impairment

Debt instruments

- Calculate the expected credit losses (ECL)

  1. ECL = Present value of contractual cash flows from the financial asset less present value of expected cash flows from the asset
  2. Calculating the weighted average of these ECLs.

- Journal:

  Dr / Cr SPL – impairment loss
  Dr / Cr OCI – Retained earnings

Equity instruments – no impairment calculations required

When calculating expected credit losses for a debt instrument at FVTOCI, the present value of contractual cash flows is equal to the amortised cost of the asset rather than the fair value.

Financial assets – FVTOCI measurement

Derecognition

Debt instrument

- Accrue interest to the derecognition date using the effective interest method.
- Remeasure the financial asset to fair value at the derecognition date, recognising the gain or loss in OCI- Revaluation surplus.
- Recognise net proceeds and derecognise the asset. Recognise any difference as a gain or loss in profit or loss.
- Reclassify the balances previously posted to OCI which related to the financial asset to profit or loss. Recognise the reclassification adjustment as part of the profit or loss on disposal (Dr / Cr OCI – Revaluation surplus or OCI – Retained earnings, Dr / Cr SPL – gain / loss on disposal).

Financial assets – FVTOCI measurement

Derecognition

Equity instrument

- Remeasure the financial asset to fair value at the derecognition date, recognising the gain or loss in OCI- Revaluation surplus.
- Recognise net proceeds and derecognise the asset. Recognise any difference as a gain or loss in profit or loss.
- Transfer the balance on the FVTOCI revaluation surplus related to the financial asset to retained earnings (Dr / Cr Revaluation surplus, Dr / Cr Retained earnings).

Financial instruments

Open document: ARP - Workshop 2 questions

Group activity - Question 1: Financial instruments

Tutor debrief - Question 1: Financial instruments

Module 5

Distributable Profits

Distributable profits Kahoot quiz

Kahoot quiz

Scan the barcode onscreen to join

OR

Go to Kahoot.it and enter game pin

You will be randomly allocated a nickname

No account needed

Distributable profits Kahoot quiz

Question 1:

The most common form of distributions from profits is:

a) The issue of bonus shares
b) Redemption of a company's own shares out of capital or unrealised profits
c) Dividends

Question 2:

Companies pay distributions out of retained earnings rather than current year profits.

a) True
b) False

Distributable profits Kahoot quiz

Question 1:

The most common form of distributions from profits is:

a) The issue of bonus shares
b) Redemption of a company's own shares out of capital or unrealised profits
c) Dividends

Question 2:

Companies pay distributions out of retained earnings rather than current year profits.

a) True
b) False

Distributable profits Kahoot quiz

Question 3:

An investment property was revalued from £250k to £270k.

a) Realised gain
b) Unrealised gain

Question 4:

Trade receivables were retranslated at the year end, with a foreign exchange gain of £25k being recognised.

a) Realised gain
b) Unrealised gain

Distributable profits Kahoot quiz

Question 3:

An investment property was revalued from £250k to £270k.

a) Realised gain

b) Unrealised gain

Question 4:

Trade receivables were retranslated at the year end, with a foreign exchange gain of £25k being recognised.

a) Realised gain

b) Unrealised gain

Distributable profits Kahoot quiz

Question 5:

An investment property with a carrying amount of £1m was revalued to £800k

a) Realised loss
b) Unrealised loss

Question 6:

A fair value gain of £30k has been recognised for a derivative with an active market.

a) Realised gain
b) Unrealised gain

Distributable profits Kahoot quiz

Question 5:

An investment property with a carrying amount of £1m was revalued to £800k

a) **Realised loss**
b) Unrealised loss

Question 6:

A fair value gain of £30k has been recognised for a derivative with an active market.

a) **Realised gain**
b) Unrealised gain

Distributable profits

Private limited companies

Accumulated realised profits not previously distributed or capitalised

LESS

Accumulated realised losses not previously written off

EQUALS

Distributable profits

Distributable profits

Listed companies

Accumulated realised profits not previously distributed or capitalised

LESS

Accumulated realised losses not previously written off

LESS

Accumulated net unrealised losses

EQUALS

Distributable profits

Distributable profits - profits

An item of income (or a gain) is realised when it arises from a transaction in which the consideration received is a qualifying consideration.
The types of qualifying consideration are:

- Cash
- An asset that is readily convertible into cash, if the value can be obtained for the asset in its current state and the asset can be sold
- Amounts to be settled in cash or amounts that are readily convertible into cash, if the debtor can settle within a reasonable period, e.g. most sales on credit

Fair value gains on investment property are unrealised gains

Distributable profits - losses

Almost all losses are realised

An exception is a revaluation decrease that cancels a previous increase

Distributable profits

Open document: ARP - Workshop 2 questions

Group activity - Question 2: Distributable profits

Tutor debrief - Question 2: Distributable profits

Module 6

Consolidation

Consolidation

Pre-consolidation step 1

Translate the financial statements to presentation currency (Foreign subsidiaries)

Pre-consolidation step 2

Calculate and recognise exchange differences on translation (Foreign subsidiaries)

Step 1

Aggregate the parent's and subsidiary's SOFP and SPLOCI on a line-by-line basis

Consolidation

Step 2

Prepare and post the journal entry to record the acquisition of the subsidiary

Account for any acquisitions in stages (extra calculation / journal for any additional investments after the company became a subsidiary – acquisition in stages)

Step 3

Prepare and post a journal entry to record any impairment of goodwill

Step 4

Allocate share of subsidiary's historical profit/loss and other gains/losses to NCI

Consolidation

Step 5

Allocate share of subsidiary's current year profit/loss and other gains/losses to NCI

Step 6

Eliminate intercompany transactions and other adjustments

Step 7

Disposal of subsidiary

FINAL STEP

Transfer of adjustments to profit or loss to retained earnings

Consolidation – disposal of subsidiary

Types of disposals:

- Full disposal
- Partial disposal (control retained)
- Partial disposal (significant influence or joint control retained)
- Partial disposal (financial asset retained)

In the ARP assessment, you can only be asked to account for a full disposal or a partial disposal where control is retained

Disposal of subsidiary

Open document: ARP - Workshop 2 questions

Group activity - Question 3: Disposal of subsidiary

Tutor debrief - Question 3: Disposal of subsidiary

Full disposal of subsidiary

	£000
Proceeds on disposal	1,000
Net assets of subsidiary at disposal date (100%)	(800)
NCI at disposal date	200
Goodwill at disposal date	(50)
Gain / (loss)	350

	£000	£000
Dr Bank	1,000	
Dr SOFP - NCI	200	
Cr Goodwill		50
Cr Net assets disposed		800
Cr SPL - gain on disposal		350

Being full disposal of subsidiary

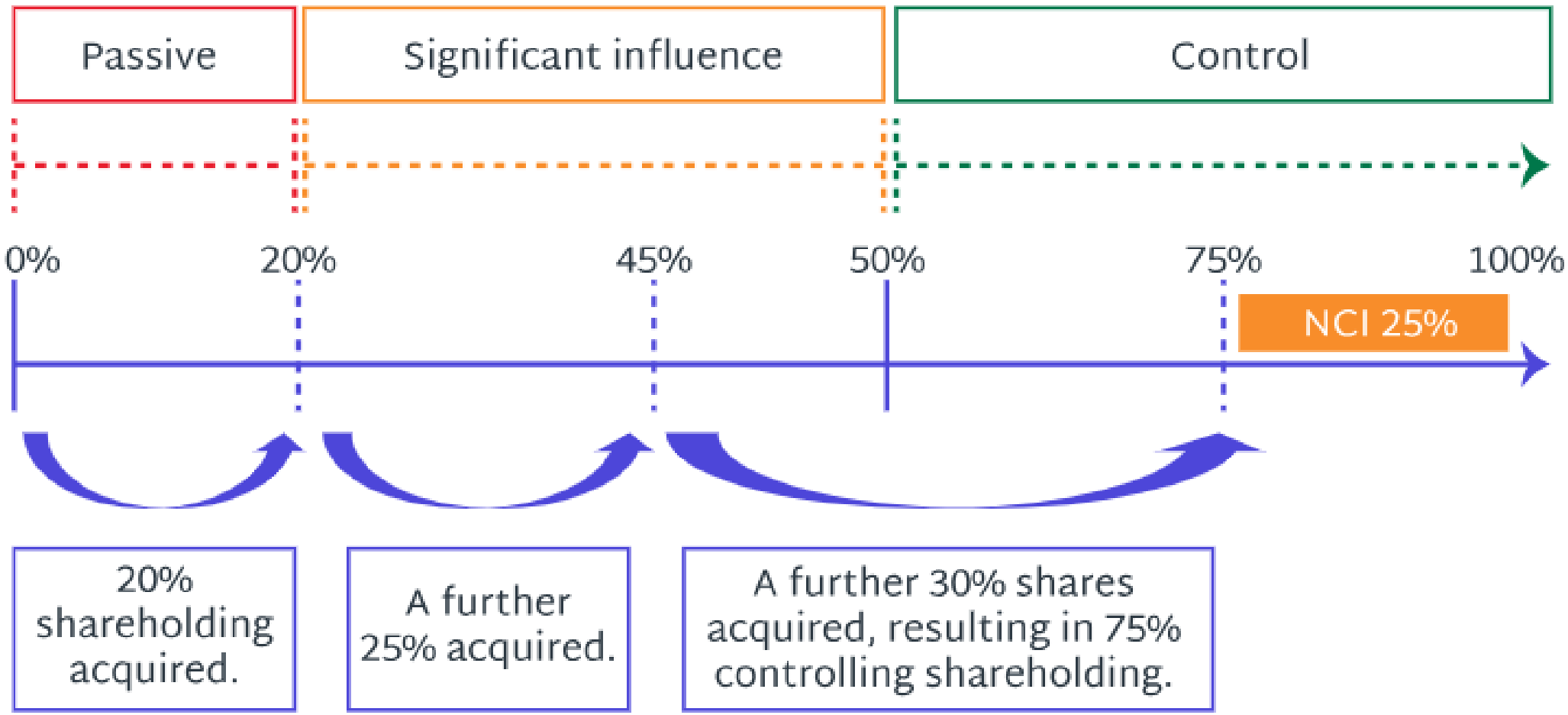
Partial disposal of subsidiary – retain control

	£000
Proceeds on disposal	1,000
Recognition of increase in NCI	-700
Credit / (debit) to equity	300

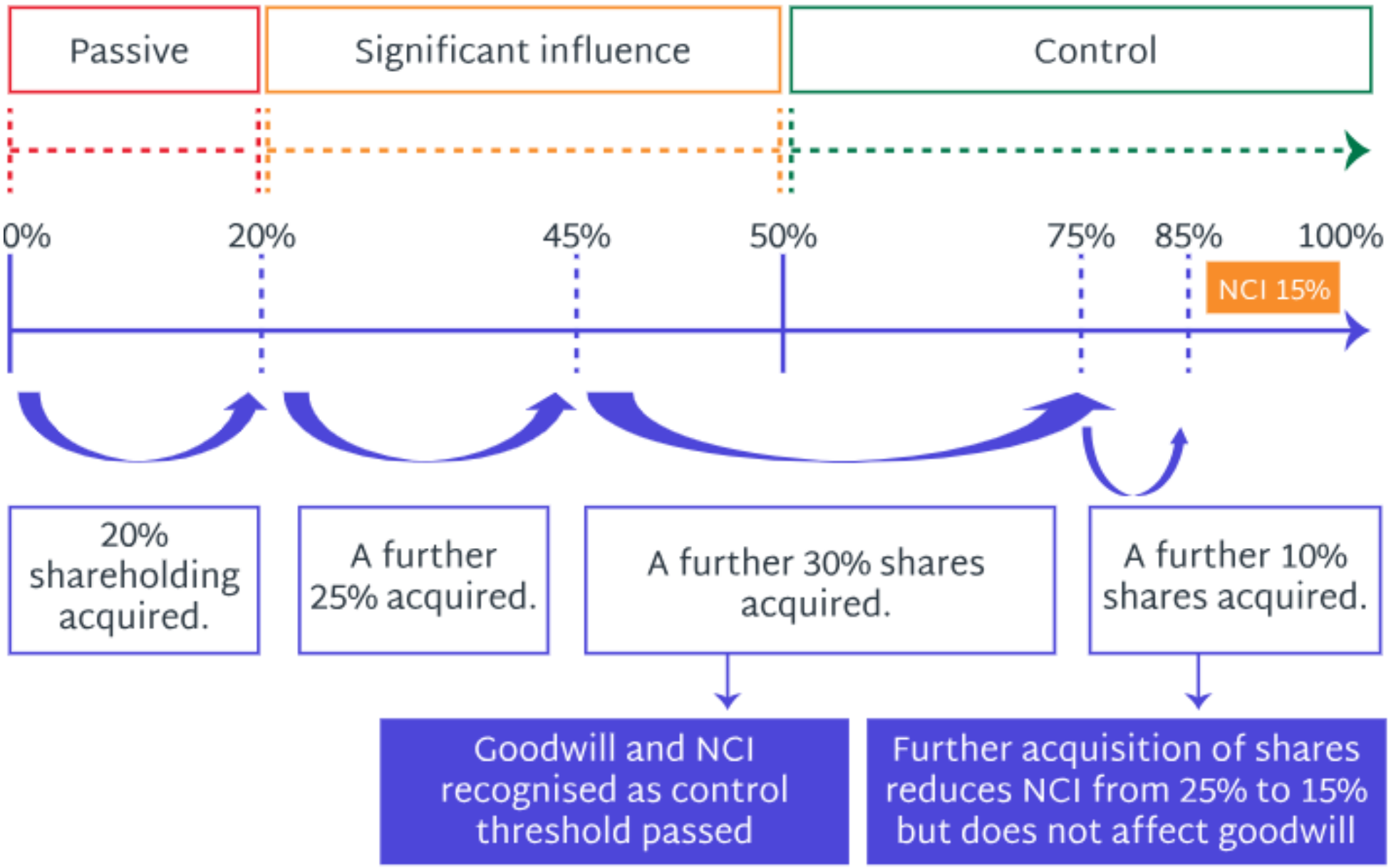
	£000	£000
Dr Bank	1,000	
Cr SOFP - NCI		700
Cr SOFP - retained earnings		300

Being partial disposal of subsidiary (control retained)

Acquisition in stages



Acquisition in stages



Acquisition in stages

Individual activity: APQ 2 (requirement 1 and step 2 for requirement 2)

Acquisition in stages

Tutor debrief – APQ2

Acquisition in stages (additional investment after control obtained)

Calculate goodwill at the acquisition stage.

Additional workings / journal for additional investment:

	£000
Additional investment in subsidiary	100
Net assets acquired from NCI	-80
Loss / (gain)	20

	£000	£000
Dr SOFP - NCI	80	
Dr Retained earnings	20	
Cr Investment in subsidiary		100

Being partial disposal of subsidiary (control retained)

Foreign subsidiaries

Some key points for the ARP assessment:

Translate the SPL at the average rate for the period.

Translate the SOFP at the closing rate.

Exchange differences are not recognised in profit or loss. The cumulative amounts of the exchange difference are recognised in equity (translation reserve).

The translation reserve is a post-acquisition reserve and part of it must be allocated to the NCI.

For the ARP assessment, all foreign subsidiaries will be acquired in the current accounting period.

Foreign subsidiaries

Open document: ARP - Workshop 2 questions

Individual activity - Question 4: Foreign subsidiary

Foreign subsidiaries

Tutor debrief - Question 4: Foreign subsidiary

Consolidation

Group activity: APQ 4

Accounting for Omricon only

Tutor debrief – APQ4

Accounting for Omricon only

Wrap up



What comes next?

Workshop 3

- Wednesday of week 7 (Modules 4, 8, 9)

Mock

- Released on Monday of week 8
- Latest you can start mock is 10am on Thursday of week 8
- Mock can cover all modules in the ARP course

What comes next?

Drop in session

- Friday of week 9
- Can drop in as required and ask the tutor any questions

Final assessment

- Thursday of week 10

Study tips

- Create a study plan ensuring you incorporate time for the following for ALL modules:
    1. Completed the content in the VLE if not already done so
    2. Completed all of the practice activities in the lessons
    3. Completed all skill-builder questions
    4. Completed all assessment practice questions – these are similar in style and difficulty to questions in the final assessment.
    5. Complete all additional practice questions

- Use the Study Guide summaries as a starting point for your own notes.
- Question practice is KEY!!
- Reflect on your question practice and mock assessment results – identify gaps in your knowledge

Assessment tips

- Read the questions carefully and fully
    1. Are you being asked to provide explanations, prepare journal entries, calculations or workings, prepare financial statements or extracts?
    2. Have you been provided with an excel resource?
    3. Often best to read the first paragraph of the question, then the requirements and finally the rest of the question / appendices. Allows you to actively look for key information to answer the question on your first read through.

- Manage your time carefully
    1. The assessment is 3 hours with 100 marks available.
    2. You should allow 1.8 minutes per available mark.
    3. Stick to the time allocated for each question and move on if you don't know how to do something.

Assessment tips

- Choose the order in which you answer the questions – we recommend that you start with the ones you are most familiar with and leave the ones you are less familiar with or more complex questions to the end

- You will not be penalised for rounding but ensure you label clearly.

- Review your answers prior to submitting your assessment
    1. No negative marking - you will not be deducted marks for writing an incorrect answer
    2. If you make an error in your workings, you will not be penalised twice, so long as you continue with your workings in the correct accounting treatment, you will receive credit for your workings.

Assessment tips

- Practice, practice, practice
    1. When completing practice questions, use a word document as this will be similar to the ICAS assessment platform.
    2. Alternatively, you could practice questions within the practice question within the ICAS assessment platform – this will give you experience of using the assessment platform to type your answers
    3. Practice how you will perform calculations and present these in the assessment.
    4. Practice writing out the narrative questions.
    5. Practice using your permitted materials (mainly the IFRS Accounting Standards).
    6. Practice answering questions under timed conditions.

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Any questions?

